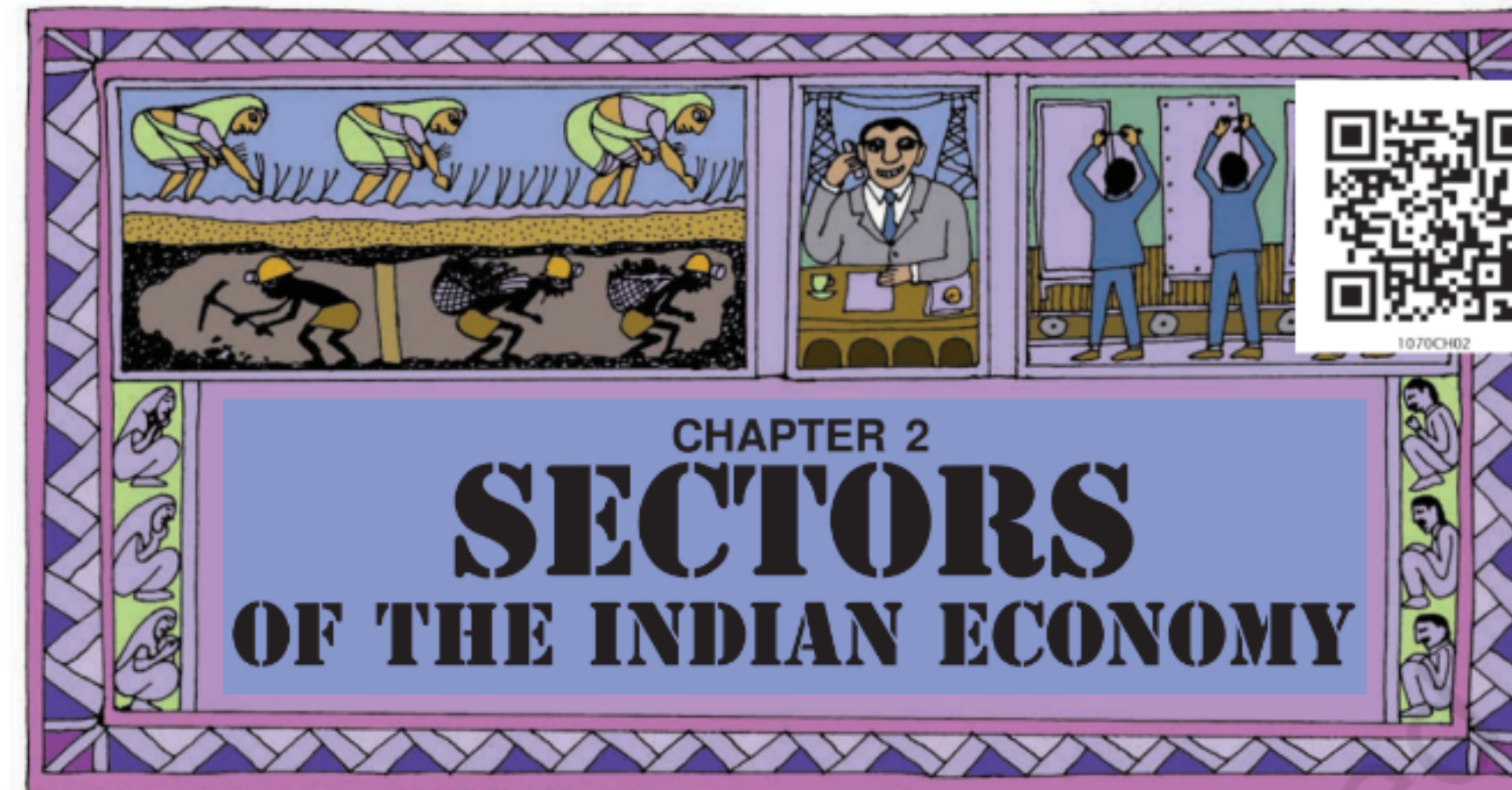


Class 10th Social Science

SECTORS OF THE INDIAN ECONOMY

Economics

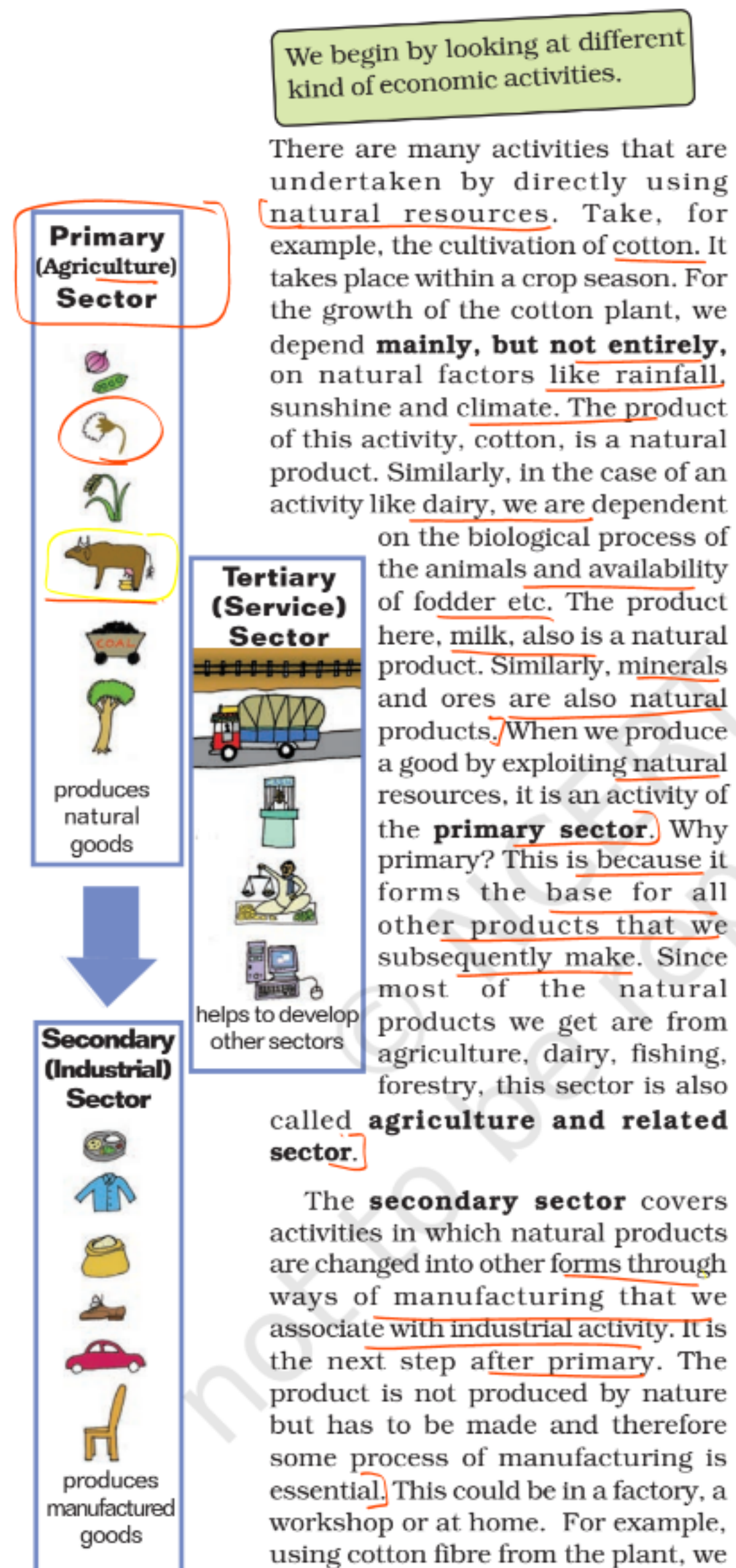




SECTORS OF ECONOMIC ACTIVITIES

Let us look at these pictures. You will find that people are engaged in various economic activities. Some of these are activities producing goods. Some others are producing services. These activities are happening around us every minute even as we speak. How do we understand these activities? One way of doing this is to group them (classify them) using some important criterion. These groups are also called sectors.





spin yarn and weave cloth. Using sugarcane as a raw material, we make sugar or gur. We convert earth into bricks and use bricks to make houses and buildings. Since this sector gradually became associated with the different kinds of industries that came up, it is also called as **industrial sector**.

After primary and secondary, there is a third category of activities that falls under **tertiary sector** and is different from the above two. These are activities that help in the development of the primary and secondary sectors. These activities, by themselves, do not produce a good but they are an aid or a support for the production process. For example, goods that are produced in the primary or secondary sector would need to be transported by trucks or trains and then sold in wholesale and retail shops. At times, it may be necessary to store these in godowns. We also may need to talk to others over telephone or send letters (communication) or borrow money from banks (banking) to help production and trade. Transport, storage, communication, banking, trade are some examples of tertiary activities. Since these activities generate services rather than goods, the tertiary sector is also called the **service sector**.

Service sector also includes some essential services that may not directly help in the production of goods. For example, we require teachers, doctors, and those who provide personal services such as washermen, barbers, cobblers, lawyers, and people to do administrative and accounting works. In recent times, certain new services based on information technology such as internet cafe, ATM booths, call centres, software companies etc have become important.

Ques what are the three sectors of economy on the basis of Production? How they are Inter-Connected (5)

Economic activities, though, are grouped into three different categories, are highly **interdependent**. Let us look at some examples.

TABLE 2.1 EXAMPLES OF ECONOMIC ACTIVITIES

EXAMPLE	WHAT DOES THIS SHOW?
Imagine what would happen if farmers refuse to sell sugarcane to a particular sugar mill. The mill will have to shut down.	This is an example of the secondary or industrial sector being dependent on the primary.
Imagine what would happen to cotton cultivation if companies decide not to buy from the Indian market and import all cotton they need from other countries. Indian cotton cultivation will become less profitable and the farmers may even go bankrupt, if they cannot quickly switch to other crops. Cotton prices will fall.	
Farmers buy many goods such as tractors, pumpsets, electricity, pesticides and fertilisers. Imagine what would happen if the price of fertilisers or pumpsets go up. Cost of cultivation of the farmers will rise and their profits will be reduced.	
People working in industrial and service sectors need food. Imagine what would happen if there is a strike by transporters and lorries refuse to take vegetables, milk, etc. from rural areas. Food will become scarce in urban areas whereas farmers will be unable to sell their products.	

LET'S WORK THESE OUT

1. Complete the above table to show how sectors are dependent on each other.
2. Explain the difference between primary, secondary and tertiary sectors using examples other than those mentioned in the text.
3. Classify the following list of occupations under primary, secondary and tertiary sectors:
 - Tailor
 - Basket weaver
 - Flower cultivator
 - Milk vendor
 - Fishermen
 - Priest
 - Courier
 - Workers in match factory
 - Moneylender
 - Gardener
 - Potter
 - Bee-keeper
 - Astronaut
 - Call centre employee
4. Students in a school are often classified into primary and secondary or junior and senior. What is the criterion that is used? Do you think this is a useful classification? Discuss.

Practice Question for this Topic

CBSE Board Paper 2026 - Set [32/2/2]

Two statements labelled as Assertion (A) and Reason (R) are given below. Read both the statements carefully and choose the correct option:

~~+~~ Assertion (A): Agricultural production related activities are included in the tertiary sector. x Primary
Reason (R): Tertiary sector is called as service sector.

Options:

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
- (B) Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).
- (C) Assertion (A) is true, but Reason (R) is false.
- ~~(D) Assertion (A) is false, but Reason (R) is true.~~

Practice Question for this Topic

CBSE Board Paper 2023 - Set [32/2/1]

Natural products being changed into other forms is known as :

- (a) Primary product
- (b) Tertiary product
- ~~(c) Secondary product~~
- (d) Quaternary product

Practice Question for this Topic

CBSE Board Paper 2024 - Set [32/2/1]

Which one of the following pairs is correctly matched?

(Sector of the Economy)

(Example)

(A) Primary Sector

Tailor ✗

(B) Secondary Sector

Fisherman ✗

~~(C) Tertiary Sector~~

→ Astronaut

(D) Primary Sector

Courier ✗

Practice Question for this Topic

CBSE Board Paper 2025 - Set [32/1/2]

X' lives in a town. He cultivates flowers along with animal husbandry. The work of 'X' will fall under which sector of the economy?

- ☒ (A) Primary
- ☐ (B) Secondary
- ☐ (C) Tertiary
- ☐ (D) Quaternary

Practice Question for this Topic

CBSE Board Paper 2025 - Set [32/4/2]

Choose the odd one out from the following options regarding the sectors of economy:

- (a) Pilot, Driver, Gardener ✗
- (b) Fisherman, Teacher, Lawyer ✗
- (c) Engineer, Professor, Farmer ✗
- (d) Doctor, Teacher, Lawyer ✓

Practice Question for this Topic

CBSE Board Paper 2024 - Set [32/5/1]

Study the following picture.



The work done in the picture comes under which one of the following sectors of the economy?

- (A) Primary
- (B) Secondary
- ~~(C) Tertiary~~
- (D) Quaternary

Practice Question for this Topic

CBSE Board Paper 2024 - Set [32/1/1]

Differentiate between primary and secondary sectors of the economy.

3

Primary	Secondary
• Natural Resour • Ag. Sect • Examp	• Using natural resources • Industrial Sector • Examp

Practice Question for this Topic

CBSE Board Paper 2020 - Set [32/1/1]

“Tertiary sector activities help in the development of the primary and secondary sectors.”
Evaluate the statement. 3

- 
- Tertiary Sector does not produces anything.
 - But helps in the production process.
 - Example : Transport, Banking

Practice Question for this Topic

CBSE Board Paper 2020 - Set [32/2/1]

Suggest any one measure for the development of any activity of 'Secondary Sector'.

2

→ (open ended Question)

Infrastructural development

Ex: 6 Roads ka development → will help in movement of goods faster.

Practice Question for this Topic

Q.3

CBSE Board Paper 2026 - Set [32/2/2]

Describe the main characteristics of the 'primary sector' of the economy. 2

→ Same.

Practice Question for this Topic

CBSE Board Paper 2026 - Set [32/5/2]

Explain the sectoral activities on the basis of employment.

5

↓
organised & unorganised
[aage wale topic m
Padhenge].

COMPARING THE THREE SECTORS

The various production activities in the primary, secondary and tertiary sectors produce a very large number of goods and services. Also, the three sectors have a large number of people working in them to produce these goods and services. The next step, therefore, is to see how much goods and services are produced and how many people work in each sector. In an economy there could be one or more sectors which are dominant in terms of total production and employment, while other sectors are relatively small in size.

How do we count the various goods and services and know the total production in each sector?

With so many thousands of goods and services produced, you might think this is an impossible task! Not only would the task be enormous, you might also wonder how we can add up cars and computers and nails and furniture. It won't make sense!!!

$= 100 \times 50$
 $= 5000$

You are right in thinking so. To get around this problem, economists suggest that the values of goods and services should be used rather than adding up the actual numbers. For example, if 10,000 kgs of wheat is sold at Rs 20 per kg, the value of wheat will be Rs 2,00,000. The value of 5000 coconuts at Rs 15 per coconut will be Rs 75,000. Similarly, the value of goods and services in the three sectors are calculated, and then added up.

$2 \times 10,00,000$
 $= 20,00,000$



...BUT I SHOULD BE PAID THE FULL VALUE OF THE WHEAT THAT I PRODUCE!

Remember, there is one precaution one has to take. Not every good (or service) that is produced and sold needs to be counted. It makes sense only to include the final goods and services. Take, for instance, a farmer who sells wheat to a flour mill for Rs 20 per kg. The mill grinds the wheat and sells the flour to a biscuit company for Rs 25 per kg. The biscuit company uses the flour and things such as sugar and oil to make four packets of biscuits. It sells biscuits in the market to the consumers for Rs 80 (Rs 20 per packet). Biscuits are the final goods, i.e., goods that reach the consumers.

Why are only 'final goods and services' counted? In contrast to final goods, goods such as wheat and the wheat flour in this example are intermediate goods. Intermediate goods are used up in producing final goods and services. The value of final goods already includes the value of all the intermediate goods that are used in making the final good. Hence, the value of Rs 80 for the biscuits (final good) already includes the value of flour (Rs 25). Similarly, the value of all other intermediate goods would have been included. To count the value of the flour and wheat separately is therefore not correct because then we would be counting the value of the same things a number of times. First as wheat, then as flour and finally as biscuits.

A =  → [50] ≈ 1

B =  → [70] ≈ 2

C =  → [80] ≈ 1

→ 50

70

= 50

= 20

= 10

80

-80

GDP

The value of final goods and services produced in each sector during a particular year provides the total production of the sector for that year. And the sum of production in the different sectors gives what is called the **Gross Domestic Product (GDP)** of a country. It is the value of all final goods and services produced **within a country** during a particular year. GDP shows how big the economy is.

In India, the mammoth task of measuring GDP is undertaken by a central government ministry. This Ministry, with the help of various government departments of all the Indian states and union territories, collects information relating to total volume of goods and services and their prices and then estimates the GDP.

Recently Indian Government began to bring out the contribution of three sectors towards Gross Value Added (GVA) in place of the contribution of three sectors towards Gross Domestic Product to be at par with global practices. The GVA measures the contribution of three sectors of an economy after adjusting for taxes and subsidies. You will learn more about the GVA and the difference between GDP and GVA in higher classes. Here we will only understand how goods and services produced in these three sectors—primary, secondary and tertiary sectors have changed.

Historical Change in Sectors

Generally, it has been noted from the histories of many, now developed, countries that at initial stages of development, primary sector was the most important sector of economic activity.

As the methods of farming changed and agriculture sector began to prosper, it produced much more food than before. Many people could now take up other activities. There were increasing number of craft-persons and traders. Buying and selling activities increased many times.

Besides, there were also transporters, administrators, army etc. However, at this stage, most of the goods produced were natural products from the primary sector and most people were also employed in this sector.

Over a long time (more than hundred years), and especially because new methods of manufacturing were introduced, factories came up and started expanding. Those people who had earlier worked on farms now began to work in factories in large numbers. They were forced to do so as you read in history chapters. People began to use many more goods that were produced in factories at cheap rates. Secondary sector gradually became the most important in total production and employment. Hence, over time, a shift had taken place. This means that the importance of the sectors had changed.

In the past 100 years, there has been a further shift from secondary to tertiary sector in developed countries. The service sector has become the most important in terms of total production. Most of the working people are also employed in the service sector. This is the general pattern observed in developed countries.

What is the total production and employment in the three sectors in India? Over the years have there been changes similar to the pattern observed for the developed countries? We shall see in the next section.

LET'S WORK THESE OUT

1. What does the history of developed countries indicate about the shifts that have taken place between sectors?
2. Correct and arrange the important aspects for calculating GDP from this Jumble.

To count goods and services we add the numbers that are produced. We count all those that were produced in the last five years. Since we shouldn't leave out anything we add up all these goods and services.

3. Discuss with your teacher how you could calculate the total value of a good or service by using the method of value added at each stage.

Practice Question for this Topic

CBSE Board Paper 2025 - Set [32/2/1]

Choose the correct option to fill in the blank:

The total value of all final goods and services produced within a country in a particular year is called GDP

- (A) Per Capita Income
- (B) Per Capita Production
- (C) Gross National Income
- ~~(D) Gross Domestic Production~~

Practice Question for this Topic

SAMPLE QUESTION PAPER SESSION 2019-20

Que. In the question given below, there are two statements marked as Assertion (A) and Reason (R). Read the statements and chose the correct option:

Assertion (A): Not every good or service that is produced and sold needs to be counted to know the total production in each sector. ?

Reason (R): The value of final goods already includes the value of all the intermediate goods.

Options:

- ☒ a. Both A and R are true and R is the correct explanation of A.
- b. Both A and R are true but R is not the correct explanation of A.
- c. A is correct but R is wrong.
- d. A is wrong but R is correct.

Practice Question for this Topic

CBSE Board Paper 2025 - Set [32/6/1]

Define 'Gross Domestic Product' and explain its importance.

How big³ the economy is.

- Sum of all the final goods and Services.
- In all three Sectors.
- within the Country
- During a year.

Practice Question for this Topic

CBSE Board Paper 2026 - Set [32/3/2]

Why are only final goods and services counted in Gross Domestic Product (GDP) ? Explain.2

- Because → The value of intermediate good is already included.
- Problem of double Counting.

Practice Question for this Topic

CBSE Board Paper 2020 - Set [32/1/1]

‘Primary sector’ was the most important sector of economic activity at initial stages of development.” Evaluate the statement.

3

Initially → Interaction with nature.
↓
Primary activities.

Describe the importance of Secondary Sector in the economy of the Country.

5

Intro : Explain Secondary Sector.

1. Primary Sector's product are utilised
2. Add value in the Economy.
3. Employment Generation.
4. Foreign Exchange.

Practice Question for this Topic

CBSE Board Paper 2026 - Set [32/4/2]

Explain the role of secondary sector in an economy.

5

Same as previous

Practice Question for this Topic

CBSE Board Paper 2026 - Set [32/5/2]

Explain the shifts seen between the different sectors of the economy in India.

5

Historical change in Sector. [Explain]

- Primary
-
- Secondary
- Tertiary

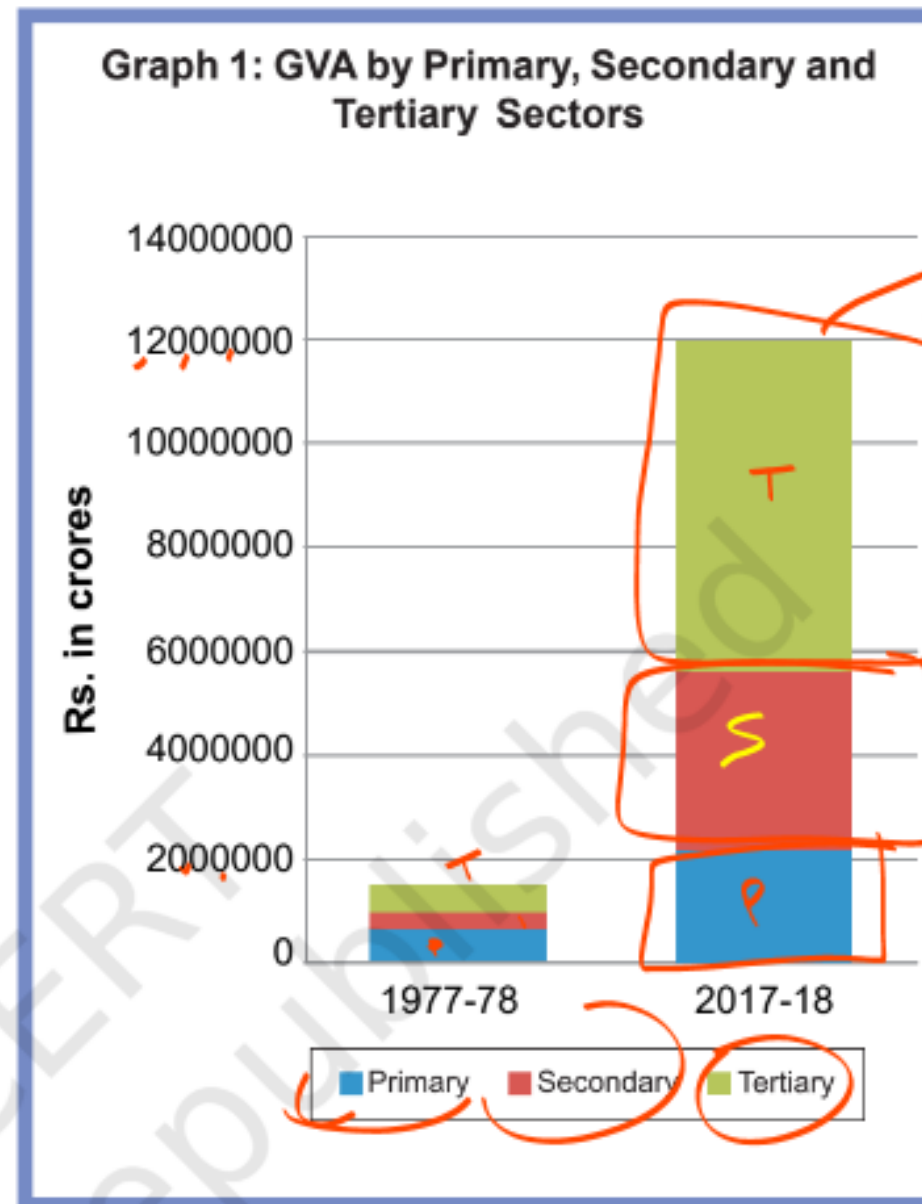
PRIMARY, SECONDARY AND TERTIARY SECTORS IN INDIA

Graph 1 shows the production of goods and services in the three sectors. This is shown for two years, 1977-78 and 2017-18. We have used the data for these two years because the data are comparable and authentic. You can see how the total production has grown over the forty years.

LET'S WORK THESE OUT

Answer the following questions by looking at the graph:

1. Which was the largest producing sector in 1977-78?
2. Which is the largest producing sector in 2017-18?
3. Can you say which sector has grown the most over forty years?
4. What was the GDP of India in 2017-18?



Why there is a rise in the tertiary sector?

What does the comparison between 1977-78 and 2017-18 show? What conclusions can we draw from the comparison? Let's find out.

Why? Rising Importance of the Tertiary Sector in Production

Over the forty years between 1977-78 and 2017-18, while production in all the three sectors has increased, it has increased the most in the tertiary sector. As a result, in the year 2017-18, the tertiary sector has emerged as the largest producing sector in India replacing the primary sector.

Why is the tertiary sector becoming so important in India? There could be several reasons.

First, in any country several services such as hospitals, educational institutions, post and telegraph services, police stations, courts, village administrative offices, municipal corporations, defence, transport, banks, insurance companies, etc. are required. These can be considered as basic services. In a developing country the government has to take responsibility for the provision of these services.

Second, the development of agriculture and industry leads to the development of services such as

transport, trade, storage and the like, as we have already seen. Greater the development of the primary and secondary sectors, more would be the demand for such services.

Third, as income levels rise, certain sections of people start demanding many more services like eating out, tourism, shopping, private hospitals, private schools, professional training etc. You can see this change quite sharply in cities, especially in big cities.

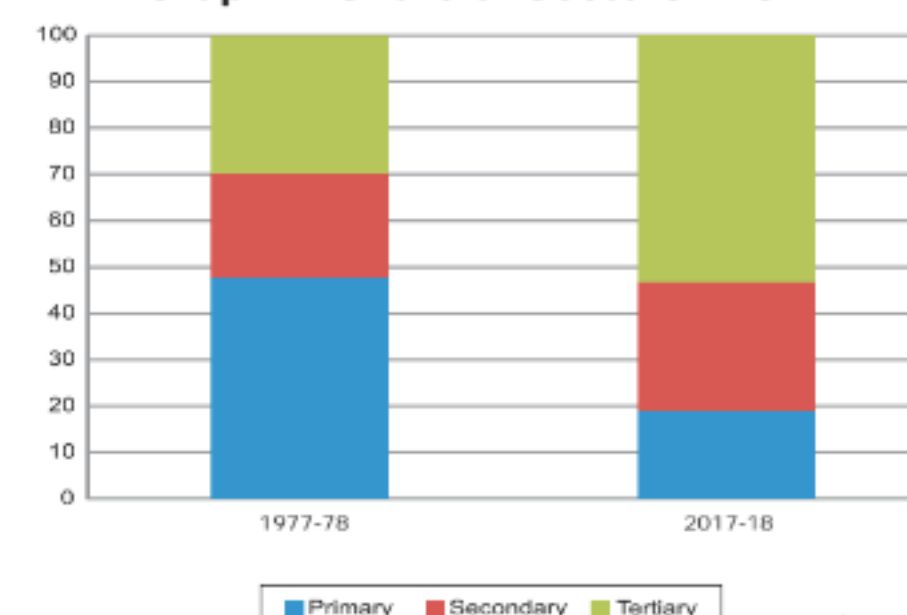
Fourth, over the past decade or so, certain new services such as those based on information and communication technology have become important and essential. The production of these services has been rising rapidly. In Chapter 4, we shall see examples of these new services and the reasons for their expansion.

Contrast However, you must remember that not all of the service sector is growing equally well. Service sector in India employs many different kinds of people. At one end there are a limited number of services that employ highly skilled and educated workers. At the other end, there are a very large number of workers engaged in services such as small shopkeepers, repair persons, transport persons, etc. These people barely manage to earn a living and yet they perform these services because no alternative opportunities for work are available to them. Hence, only a part of this sector is growing in importance. You shall read more about this in the next section.

Where are most of the people employed?

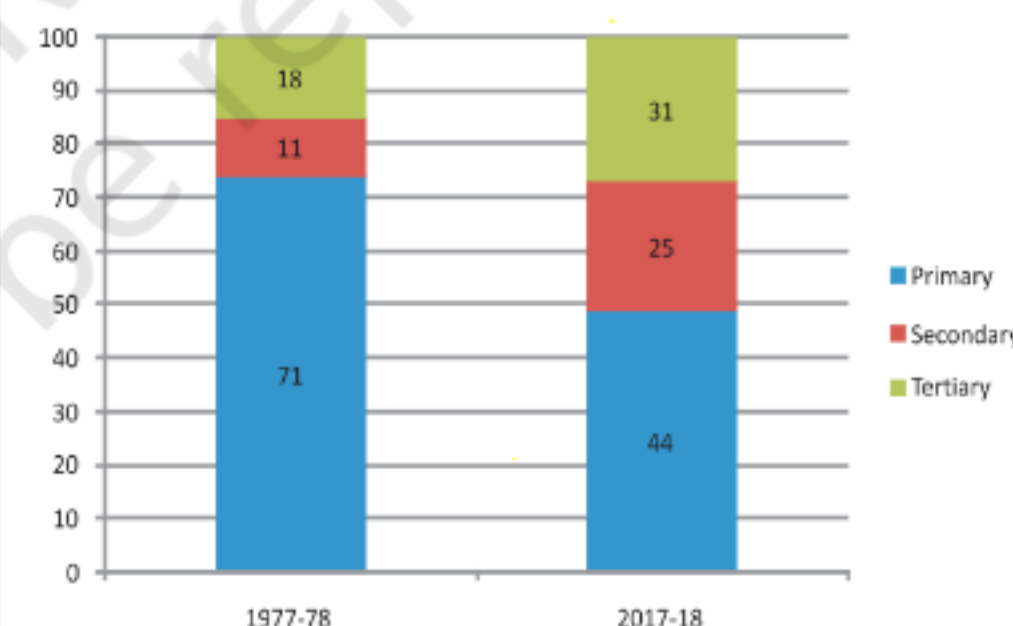
Graph 2 presents percentage share of the three sectors in GVA. Now you can directly see the changing importance of the sectors over the forty years.

Graph 2: Share of Sectors in GVA



A remarkable fact about India is that while there has been a change in the share of the three sectors in GVA, a similar shift has not taken place in employment. Graph 3 shows the share of employment in the three sectors in 1977-78 and 2017-18. The primary sector continues to be the largest employer even now.

Graph 3 : Share of Sectors in Employment (%)



Why didn't a similar shift out of primary sector happen in case of employment? It is because not enough jobs were created in the secondary and tertiary sectors. Even